

ILLUSTRATIVE ASPE CLIENT LTD.

Non-Consolidated Financial Statements

Year Ended August 31, 2024

Draft for discussion purposes only

ILLUSTRATIVE ASPE CLIENT LTD.

Non-Consolidated Balance Sheet

August 31, 2024

	2024	2023
ASSETS		
CURRENT		
Cash and cash equivalents	\$ 1,838,495	\$ 4,662,010
Marketable securities <i>(Note 24)</i>	2,770,639	-
Accounts and other amounts receivable <i>(Note 4)</i>	49,577,771	30,552,682
Inventory <i>(Note 5)</i>	1,911,513	4,446,840
Prepaid expenses	1,165,136	1,206,092
Costs and estimated earnings in excess of billings	5,006,090	4,500,887
	62,269,644	45,368,511
HOLDBACKS RECEIVABLE <i>(Note 4)</i>	14,751,337	5,715,877
PROPERTY, PLANT AND EQUIPMENT <i>(Note 6)</i>	7,758,037	5,753,499
INTANGIBLE ASSETS	227,500	245,000
CASH SURRENDER VALUE OF LIFE INSURANCE POLICIES <i>(Note 7)</i>	64,000	32,000
INVESTMENT IN A SUBSIDIARY	351,000	351,000
INVESTMENT IS A SIGNIFICANTLY INFLUENCED ENTITY	1,425,262	1,425,262
DEPOSITS <i>(Note 23)</i>	2,400,000	1,200,000
	\$ 89,246,780	\$ 60,091,149

See notes to financial statements

ILLUSTRATIVE ASPE CLIENT LTD.

Non-Consolidated Balance Sheet

August 31, 2024

	2024	2023
LIABILITIES		
CURRENT		
Accounts and other amounts payable (<i>Notes 8, 24</i>)	\$ 37,810,785	\$ 21,011,071
Income taxes payable	2,128,487	1,642,909
Other government remittances payable (<i>Note 9</i>)	1,036,741	886,540
Billings in excess of costs and estimated earnings	7,476,890	6,613,508
Redeemable shares classified as liabilities (<i>Note 11</i>)	2,000,000	2,000,000
Current portion of long term debt (<i>Note 13</i>)	209,436	106,782
Current portion of obligations under capital lease (<i>Note 14</i>)	254,909	-
Due to related parties (<i>Note 12</i>)	2,407,232	2,440,601
	53,324,480	34,701,411
LONG TERM DEBT (<i>Note 13</i>)	2,157,007	1,250,895
OBLIGATIONS UNDER CAPITAL LEASES (<i>Note 14</i>)	673,015	-
DUE TO SHAREHOLDERS (<i>Note 15</i>)	855,514	256,503
	57,010,016	36,208,809
SHAREHOLDERS' EQUITY		
Share capital (<i>Note 16</i>)		
Preferred shares, redeemable for \$2,250,000	6,000	6,000
Common shares	10,110	10,110
	16,110	16,110
Provision for redemption of redeemable shares (<i>Note 11</i>)	(1,999,000)	(1,999,000)
Retained earnings	34,219,654	25,865,230
	32,236,764	23,882,340
	\$ 89,246,780	\$ 60,091,149
LEASE COMMITMENTS (<i>Note 20</i>)		
GUARANTEE (<i>Note 21</i>)		
CONTINGENT LIABILITY (<i>Note 22</i>)		
SUBSEQUENT EVENTS (<i>Note 23</i>)		
ON BEHALF OF THE BOARD		

Director

Director

See notes to financial statements

ILLUSTRATIVE ASPE CLIENT LTD.

Non-Consolidated Statement of Income

Year Ended August 31, 2024

	2024	2023
REVENUES		
Construction contract revenue <i>(Note 17)</i>	\$ 201,166,075	\$ 95,809,301
Product sales revenue	<u>16,742,894</u>	<u>12,668,723</u>
	<u>217,908,969</u>	<u>108,478,024</u>
COST OF SALES		
Purchases <i>(Note 24)</i>	158,542,438	74,604,941
Direct wages	23,720,907	15,514,271
Trades and sub-contracts	6,005,058	4,758,572
Freight in and duty	840,867	135,220
Amortization	<u>836,128</u>	<u>616,075</u>
	<u>189,945,398</u>	<u>95,629,079</u>
GROSS PROFIT	<u>27,963,571</u>	<u>12,848,945</u>
RENTAL INCOME	<u>300,000</u>	<u>300,000</u>
EXPENSES <i>(Schedule 1)</i>	<u>7,162,865</u>	<u>4,667,850</u>
INCOME FROM OPERATIONS	<u>21,100,706</u>	<u>8,481,095</u>
OTHER INCOME		
Gain (loss) on disposal of property, plant and equipment	11,446	(3,012)
Unrealized loss on marketable securities	<u>(229,361)</u>	<u>-</u>
	<u>(217,915)</u>	<u>(3,012)</u>
INCOME BEFORE INCOME TAXES	<u>20,882,791</u>	<u>8,478,083</u>
INCOME TAXES <i>(Note 19)</i>	<u>2,611,867</u>	<u>2,153,996</u>
NET INCOME	<u>\$ 18,270,924</u>	<u>\$ 6,324,087</u>

See notes to financial statements

ILLUSTRATIVE ASPE CLIENT LTD.
Non-Consolidated Statement of Retained Earnings
Year Ended August 31, 2024

	2024	2023
RETAINED EARNINGS - BEGINNING OF YEAR	\$ 25,865,230	\$ 27,464,893
NET INCOME	<u>18,270,924</u>	<u>6,324,087</u>
	44,136,154	33,788,980
DIVIDENDS DECLARED	<u>(10,000,000)</u>	<u>(8,000,000)</u>
REFUNDABLE INCOME TAXES RECOVERED	<u>83,500</u>	<u>76,250</u>
RETAINED EARNINGS - END OF YEAR	<u>\$ 34,219,654</u>	<u>\$ 25,865,230</u>

Draft for discussion purposes only

ILLUSTRATIVE ASPE CLIENT LTD.
Non-Consolidated Statement of Cash Flows
Year Ended August 31, 2024

	2024	2023
OPERATING ACTIVITIES		
Net income	\$ 18,270,924	\$ 6,324,087
Items not affecting cash:		
Amortization of property, plant and equipment	1,032,114	821,433
Amortization of intangible assets	17,500	17,500
Unrealized gains on marketable securities	229,361	-
Change in cash surrender value of life insurance policies	(32,000)	(32,000)
Loss (gain) on disposal of property, plant and equipment	(11,446)	3,012
	<u>19,506,453</u>	<u>7,134,032</u>
Changes in non-cash working capital:		
Accounts receivable	(19,025,089)	(6,986,428)
Holdbacks receivable	(9,035,460)	(3,007,657)
Inventory	2,535,327	(2,342,736)
Prepaid expenses	40,956	(224,303)
Accounts and other amounts payable	16,799,713	8,802,451
Income taxes payable	485,578	1,085,337
Other government remittances payable	150,201	(5,217)
Costs and estimated earnings in excess of billings	(505,203)	(3,381,597)
Billings in excess of costs and estimated earnings	863,382	(1,016,334)
	<u>(7,690,595)</u>	<u>(7,076,484)</u>
Cash flow from operating activities	<u>11,815,858</u>	<u>57,548</u>
INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(2,220,430)	(2,385,886)
Proceeds on disposal of property, plant and equipment	123,146	44,220
Deposits made on business acquisition (Note 23)	(1,200,000)	(1,200,000)
Investment in marketable securities	(3,000,000)	-
Investment in subsidiary	-	(351,000)
Cash flow used by investing activities	<u>(6,297,284)</u>	<u>(3,892,666)</u>
FINANCING ACTIVITIES		
Dividends paid	(10,000,000)	(8,000,000)
Refundable income taxes recovered	83,500	76,250
Advances to shareholders	(8,711,025)	(16,507,922)
Advances from shareholders	12,386,901	8,345,651
Advances to related parties	(8,763,991)	(1,743,594)
Advances from related parties	5,653,759	1,853,625
Proceeds from long term debt	1,200,000	1,454,000
Repayment of long term debt	(191,233)	(96,324)
Cash flow used by financing activities	<u>(8,342,089)</u>	<u>(14,618,314)</u>
DECREASE IN CASH FLOW	<u>(2,823,515)</u>	<u>(18,453,432)</u>
Cash and cash equivalents - beginning of year	<u>4,662,010</u>	<u>23,115,442</u>
CASH AND CASH EQUIVALENTS - END OF YEAR	<u>\$ 1,838,495</u>	<u>\$ 4,662,010</u>

See notes to financial statements

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

1. DESCRIPTION OF BUSINESS

Illustrative ASPE Client Ltd. (the "Company") is incorporated provincially under the Business Corporations Act of British Columbia. The Company is an electrical contractor based in the lower mainland of British Columbia that provides construction services to property development companies. The Company also manufactures and distributes electrical supplies equipment to other electrical contractors in the region.

During the year, three large property development customers comprised approximately 62% (2023 - two customers comprised approximately 57%) of construction contract revenue.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The non-consolidated financial statements were prepared in accordance with Canadian accounting standards for private enterprises (ASPE) and, in management's opinion, with consideration of materiality and within the framework of the following accounting policies:

Cash and cash equivalents

Cash includes cash and cash equivalents. Cash equivalents are investments in term deposits and are valued at cost plus accrued interest. The carrying amounts approximate fair value because they have maturities at the date of purchase of less than ninety days.

Inventory

The Company's inventory of raw materials is recorded at the lower of cost and replacement cost. Work-in-process and finished goods are valued at the lower of cost (including overhead) and net realizable value. Cost is determined by the first-in, first-out method. Cost of inventories of items that are segregated for specific projects is assigned by using specific identification of their individual costs. Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and selling costs.

Property, plant and equipment

Property, plant and equipment is stated at cost or deemed cost less accumulated amortization and is amortized over its estimated useful life at the following rates and methods:

Buildings	20 years	straight-line method
Equipment	10 years	straight-line method

The Company regularly reviews its property, plant and equipment to eliminate obsolete items. Government grants are treated as a reduction of property, plant and equipment cost.

Property, plant and equipment acquired during the year but not placed into use are not amortized until they are placed into use.

Intangible assets

The Company holds a distribution licence to be the sole authorized distributor and installer of a specialized high pressure water valve operating system. The Company amortizes the cost of this distribution licence using the straight-line method over a 15 year period.

Investments in related parties

The Company's investment in Illustrative Subsidiary Company Ltd., an electrical contractor with operations based in the Fraser Valley, of which it owns 100% of the outstanding voting shares, and over which the Company exercises control, is accounted for by the cost method.

The Company's investment in Illustrative Investment Company Ltd., a real estate holding company, of which it owns 25% of the outstanding voting shares, and over which the Company exercises significant influence, is accounted for by the cost method.

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ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

Revenue recognition

Construction contract revenue

Construction contract revenues are recognized using the percentage of completion basis, as determined by total costs incurred to date over total estimated costs. Provisions for estimated losses on uncompleted jobs are made in the period in which the revisions are determined.

Customer advances and billings in excess of revenues recognized on contracts in progress are recorded as deferred revenues. Accrued contract revenue represents revenues recognized but not yet invoiced to customers. Work in progress represents costs incurred in excess of recognized cost of sales.

Product sales

Revenue from the sale of inventory is recognized upon receipt by the customer, when the significant risks and rewards of ownership have transferred and there are no significant obligations remaining, the sales price is fixed and determinable, persuasive evidence of an arrangement exists and collectability is reasonably assured.

Rental income

Rental income from tenants under lease agreements are recognized on a straight line basis over the term of the lease agreement. Percentage rent is recognized in the period the rent is earned, provided it can be reasonably estimated and collection is reasonably assured. Rent charged in respect of cost recoveries and common element maintenance charges are recognized as rental revenue in the period the charges are incurred.

Lump sum lease termination fees paid by tenants to be released from future lease obligations are recognized as revenues at the time of the agreement.

Cloud computing expenses

The Company uses the simplified approach of accounting for cloud computer expenses. Under this approach, the Company recognizes the expenditures related to the elements in the cloud computing arrangement as an expense as incurred.

Income taxes

The Company uses the income taxes payable method of accounting for income taxes. Under this method, the Company reports as an expense (income) of the period only the cost (benefit) of current income taxes determined in accordance with the rules established by taxation authorities.

Measurement uncertainty / use of estimates

The preparation of financial statements in conformity with Canadian accounting standards for private enterprises requires management to make estimates and assumptions that affect the reported amount of assets and liabilities and related disclosures at the date of the financial statements and the reported amounts of revenues and expenses during the period. Such estimates are periodically reviewed and any adjustments necessary are reported in earnings in the period in which they become known.

The primary estimates made by management relate to the estimated percentage of completion used to recognize revenue for electrical contracts. These estimates are material and impact the reported values of costs and estimated earnings in excess of billings, and billings in excess of costs and estimated earnings, as well as the construction contract revenue recognized.

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ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES *(continued)*

Other significant items that require management to make estimates are:

1. Allowance for doubtful accounts on accounts and other amounts receivable;
2. Impairment of damaged or obsolete inventory;
3. Useful life of property and equipment as well as any related impairment charges;
4. Impairment of investments in subsidiary or the significantly influenced entity; and
5. Disclosures regarding contingent assets and liabilities and related provisions, if any.

Actual results may differ because of uncertainties related to these estimates. Accordingly, the measurement of assets and liabilities presented in the balance sheet reflect management's best estimate taking account of all the information available at the balance sheet date. Such estimates are periodically reviewed and any adjustments necessary are reported in earnings in the period in which they become known.

3. INITIAL APPLICATION OF A NEW ACCOUNTING STANDARD

On January 1, 2023, the Company early adopted the new standard AcG-20, *Customer's Accounting for Cloud Computing Arrangements*, which provides guidance on the accounting treatment for expenses related to a customer's cloud computing arrangement. Furthermore, the Company has elected to recognize the expenses related to such arrangements that fall into the scope of AcG-20, to apply the permitted simplification measure. These expenses are treated as the supply of services and recognized as expenses when the Company receives the services in question. These expenses are included in the "cloud computing services" in the income statement. The Company recognizes a prepayment as an asset when payments for goods and services are made in advance. Implementation costs are expensed as incurred.

The Company has applied AcG-20 retrospectively and upon a review of the previous policies for accounting for cloud computing services noted that no retrospective adjustment was required.

4. ACCOUNTS AND OTHER AMOUNTS RECEIVABLE

	<u>2024</u>	<u>2023</u>
Accounts receivable	\$ 39,974,989	\$ 23,447,677
Holdbacks receivable	10,028,853	7,047,584
Accounts receivable - related parties	114,614	68,957
Employee advances	10,816	21,891
Allowance for doubtful accounts	<u>(551,501)</u>	<u>(33,427)</u>
	<u>\$ 49,577,771</u>	<u>\$ 30,552,682</u>

Holdbacks receivable at year end in the amount of \$14,751,337 (2023 - \$5,715,877) are not expected to be collected within the following fiscal year and have been classified as non-current.

The accounts receivable from related parties are companies held under common control and are measured at the exchange amount under normal credit terms.

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

5. INVENTORY

	2024	2023
Raw materials	\$ 1,176,908	\$ 2,668,104
Work in progress	447,878	1,111,710
Finished goods	286,727	667,026
	<u>\$ 1,911,513</u>	<u>\$ 4,446,840</u>

6. PROPERTY, PLANT AND EQUIPMENT

	Cost	Accumulated amortization	2024 Net book value	2023 Net book value
Land	\$ 36,285	\$ -	\$ 36,285	\$ 36,285
Buildings	1,396,857	93,591	1,303,266	1,194,645
Equipment	10,848,672	4,430,186	6,418,486	4,522,569
	<u>\$ 12,281,814</u>	<u>\$ 4,523,777</u>	<u>\$ 7,758,037</u>	<u>\$ 5,753,499</u>

Included in property, plant and equipment is \$250,000 in deposits on equipment that has not yet been received and thus not subject to amortization.

The following assets included above are held under capital lease Note 14:

	Cost	Accumulated amortization	2024 Net book value	2023 Net book value
Equipment held under capital lease	\$ 1,139,952	\$ 45,921	\$ 1,094,031	\$ -

7. CASH SURRENDER VALUE OF LIFE INSURANCE POLICIES

During the year the cash surrender value of life insurance policies held on executives of the Company increased by \$32,000 (2023 - \$32,000). This increase in the cash surrender value of the life insurance policies has been netted against the life insurance premiums on executives presented on the Statement of Income.

8. ACCOUNTS AND OTHER AMOUNTS PAYABLE

	2024	2023
Accounts payable	\$ 32,788,709	\$ 18,044,023
Holdbacks payable	5,022,076	2,967,048
	<u>\$ 37,810,785</u>	<u>\$ 21,011,071</u>

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

9. OTHER GOVERNMENT REMITTANCES PAYABLE

	2024	2023
Payroll deductions payable	\$ 376,589	\$ 321,749
Employer health tax payable	277,642	254,668
GST payable	213,177	151,360
Workers compensation payable	169,333	158,763
	\$ 1,036,741	\$ 886,540

10. LINE OF CREDIT

The Company has a \$2,000,000 revolving line of credit of which Nil was used as at August 31, 2024 (2023 - Nil). Bank advances on the line of credit are payable on demand and bear interest at 2% over prime. The line of credit is secured by the assignment of accounts receivables and limited personal guarantees of the Directors of the Company.

11. REDEEMABLE SHARES SHARES CLASSIFIED AS LIABILITIES

On January 1, 2022, the Company issued 1,000 Class F preferred shares as part tax deferred property transfer under Section 85 of the Income Tax Act. The retractable shares are redeemable on demand and have been classified as a current liability at the redemption amount of \$2,000 per share.

The excess of the redemption price over the carrying value of the common shares at the time of the exchange has been classified as "Provision for redemption of redeemable shares". When the retractable shares are called for redemption, the balance of this separate component of equity will be reduced through a charge to retained earnings.

12. DUE TO RELATED PARTIES

The following is a summary of the Company's related party transactions:

	2024	2023
<u>Related party transactions</u>		
Illustrative Distribution Company Ltd. (Subsidiary)		
Purchases of inventory and supplies	\$ 727,668	\$ 519,459
Illustrative Related Company Ltd. (Company under common control)		
Product sales	\$ 354,898	\$ 324,673

These transactions are in the normal course of operations and are measured at the exchange amount, which is the amount of consideration established and agreed to by the related parties.

Due to related parties

Illustrative Distribution Company Ltd.	\$ 2,407,232	\$ 2,440,601
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Advances to / from related parties are unsecured, non-interest bearing and have no set repayment terms.

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

13. LONG TERM DEBT

	2024	2023
Royal Bank of Canada loan bearing interest at 5.55% per annum, repayable in monthly blended payments of \$13,053. The loan matures on August 31, 2028 and is secured by general security agreement against the Company.	\$ 1,115,533	\$ -
Royal Bank of Canada loan bearing interest at 4.95% per annum, repayable in monthly blended payments of \$12,699. The loan matures on August 31, 2027 and is secured by general security agreement against the Company.	1,004,940	1,104,879
Royal Bank of Canada loan bearing interest at the bank's prime plus 1.91% per annum, repayable in monthly blended payments of \$1,821. The loan matures on June 15, 2028 and is secured by specific property with a carrying value of \$349,683.	245,970	252,798
	2,366,443	1,357,677
Amounts payable within one year	(209,436)	(106,782)
	\$ 2,157,007	\$ 1,250,895
Principal repayment terms are approximately:		
2025	\$ 209,436	
2026	220,734	
2027	906,367	
2028	1,029,906	
	\$ 2,366,443	

14. OBLIGATIONS UNDER CAPITAL LEASES

	2024	2023
Capital lease bearing interest at 6.12% per annum, repayable in monthly blended payments of \$4,244. The lease matures on January 1, 2029 and is secured by specific equipment, which has a carrying value of \$209,898.	\$ 196,653	\$ -
Capital lease bearing interest at 6.41% per annum, repayable in monthly blended payments of \$2,290. The lease matures on May 1, 2029 and is secured by specific equipment, which has a carrying value of \$123,248.	112,264	-
Capital lease bearing interest at 6.76% per annum, repayable in monthly blended payments of \$496. The lease matures on May 1, 2029 and is secured by specific equipment, which has a carrying value of \$25,768.	24,139	-
Capital lease bearing interest at 6.79% per annum, repayable in monthly blended payments of \$10,032. The lease matures on June 1, 2029 and is secured by specific equipment, which has a carrying value of \$538,783.	494,846	-

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ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

14. OBLIGATIONS UNDER CAPITAL LEASES *(continued)*

	2024	2023
Capital lease bearing interest no interest, repayable in monthly payments of \$15,000. The lease matures on December 31, 2024 and is secured by specific equipment, which has a carrying value of \$196,334.	100,022	-
	927,924	-
Amounts payable within one year	(254,909)	-
	\$ 673,015	\$ -
Future minimum capital lease payments are approximately:		
2025	\$ 304,765	
2026	204,746	
2027	204,746	
2028	204,746	
2029	146,616	
Total minimum payments	1,065,619	
Less interest amount at various rates	137,695	
	\$ 927,924	

15. DUE TO SHAREHOLDERS

Advances from shareholders are unsecured, non-interest bearing and have no set repayment terms. The shareholders have waived their right to demand repayment of the advances for the next year and as such, they have been presented as non-current.

16. SHARE CAPITAL

Issued

	2024	2023
100 Class D preferred shares, redeemable at \$10,000 per share	\$ 1,000	\$ 1,000
2,500 Class E preferred shares, redeemable at \$500 per share	5,000	5,000
	6,000	6,000
10 Class A common voting shares	10	10
100 Class B common non-voting shares	100	100
1,000 Class C common non-voting shares	10,000	10,000
	10,110	10,110
	\$ 16,110	\$ 16,110

The Class D and Class E preferred shares arose from a tax planning arrangement to implement an estate freeze and are redeemable on demand.

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

17. CONSTRUCTION CONTRACTS IN PROGRESS

As described in Note 2 of the financial statements, the Company recognizes revenue on long-term construction contracts using the percentage of completion method, with the degree of completion measured based on the ratio of costs incurred to total estimated costs.

The following is a summary of the revenue recognized and costs incurred each year for projects that are in progress as at August 31, 2024.

	2024	2023	2022	In aggregate
Revenue from construction contracts	\$ 188,562,695	\$ 55,319,808	\$ 1,601,794	\$ 245,484,297
Costs related to construction contracts	155,198,249	43,886,979	1,452,668	200,537,896
Gross profit on construction contracts	<u>\$ 33,364,446</u>	<u>\$ 11,432,829</u>	<u>\$ 149,126</u>	<u>\$ 44,946,401</u>

As at August 31, 2024, there were 22 (2023 - 24) projects in progress, with total estimated costs to complete of \$224,786,170 (2023 - \$268,475,154).

The aggregate amount of holdbacks withheld and the aggregate amount of advances received on construction contracts that were in progress at year end are disclosed in Note 4 and on the balance sheet.

18. CLOUD COMPUTING EXPENSES

Included in office expenses on the Statement of Income are cloud computing expenses of \$33,489 (2023 - \$32,276).

19. INCOME TAXES

The income tax provision recorded differs from the income tax obtained by applying the statutory income tax rate of 27.00% (2023 - 27.00%) to the income for the year and is reconciled as follows:

	2024	2023
Income before income taxes	<u>\$ 20,882,791</u>	<u>\$ 8,478,083</u>
Income tax expense at the combined basic federal and provincial tax rate:	\$ 5,638,354	\$ 2,289,082
Increase (decrease) resulting from:		
Change in holdbacks receivable and holdbacks payable	(2,650,902)	291,601
Capital cost allowance claimed in excess of amortization	(287,507)	(373,461)
Non-deductible expenses	47,440	77,761
Other adjustments	<u>(135,518)</u>	<u>(130,987)</u>
Income tax expense	<u>\$ 2,611,867</u>	<u>\$ 2,153,996</u>

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

20. LEASE COMMITMENTS

The Company has a long term lease with respect to its premises. The lease contains a renewal option to renew the lease for five years at the end of the term and provides payment for a share of property taxes and common area expenses. These additional costs for property taxes and common area expenses have been excluded.

Future minimum lease payments as at August 31, 2024, are as follows:

2025	\$ 718,372
2026	876,320
2027	902,610
2028	929,688
2029	957,578
Thereafter	651,027
	<u>\$ 5,035,595</u>

21. GUARANTEE

The Company has provided a guarantee for bank loans of Illustrative Related Company Ltd., to a maximum of \$1,100,000. At August 31, 2024, the outstanding loan balance was \$783,674 and was in compliance with all lending covenants. In the event that Illustrative Related Company Ltd. defaults on this loan, the Company could be called upon to pay some or all of the outstanding balance. Illustrative Related Company Ltd. is related to the Company by virtue of having the same majority shareholder.

22. CONTINGENT LIABILITY

The Company has been named as a defendant in a legal action alleging wrongful dismissal of a former employee. The action seeks \$130,000 in damages. Management is unable to determine the Company's potential liability, if any, resulting from this action. Any settlement will be reflected as a charge to income in the year incurred. No provision for possible loss has been included in these financial statements.

23. SUBSEQUENT EVENTS

The following events occurred subsequent to the fiscal year end:

Acquisition of a business

Subsequent to year end, the Company entered into an agreement to purchase all of the issued and outstanding shares of Illustrative Acquisition Business Ltd. which is a small electrical contractor that is also based in the lower mainland of British Columbia. The Company will acquire the shares for cash consideration of \$3,600,000 of which \$2,400,000 (2023 - \$1,200,000) has been paid as a deposit on the transaction. The acquisition has and will continue to be financed by way of a loan from a chartered bank. The terms of the loan had yet to be finalized at the time these financial statements were published.

Fire damage to facilities

The Company's manufacturing facilities were damaged by a small fire subsequent to year end. The damage has been estimated to be approximately \$750,000, which will be fully covered by insurance proceeds. Management has been led to believe that the rebuilding of the facilities will take approximately 6 months to complete.

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

24. FINANCIAL INSTRUMENTS

The Company initially measures its financial assets and liabilities at fair value, except for certain related party transactions that are measured at the carrying amount or exchange amount, as appropriate.

The Company subsequently measures its investments in marketable securities, which include publicly listed stocks and exchange traded funds, at their fair value.

The Company subsequently measures all of its other financial assets and financial liabilities at cost or amortized cost. Financial assets measured at amortized cost on a straight-line basis include cash, accounts receivable, amounts due from related parties, and investments in a entity subject to significant influence. Financial liabilities measured at amortized cost on a straight-line basis include accounts payable, redeemable shares classified as liabilities, amounts due to related parties, and amounts due to shareholders.

The Company is exposed to various risks through its financial instruments. The following analysis provides information about the Company's risk exposure and concentration as of August 31, 2024.

Credit risk

Credit risk arises from the potential that a counter party will fail to perform its obligations. The Company is exposed to credit risk from customers. An allowance for doubtful accounts is established based upon factors surrounding the credit risk of specific accounts, historical trends and other information.

At year end, three large property development customers comprised approximately 57% (2023 - two customers comprised approximately 48%) of the outstanding accounts receivable and holdbacks receivable balances.

Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Company is exposed to this risk mainly in respect of its receipt of funds from its customers and other related sources, long term debt, obligations under capital leases, and accounts payable.

The Company is exposed to this risk mainly in respect of its bank loan, long term debt, redeemable shares presented as liabilities, and accounts payable. The Company's exposure to liquidity risk changed during the year from the previous year as a result of the increase in financial liabilities, in particular the accounts payable, long term debt and capital lease obligations.

Currency risk

Currency risk is the risk to the Company's earnings that arise from fluctuations of foreign exchange rates and the degree of volatility of these rates. The Company is exposed to foreign currency exchange risk on expenditures and accounts payable denominated in U.S. dollars. The Company does not use derivative instruments to reduce its exposure to foreign currency risk.

During the year, approximately 17% (2023 - 21%) of purchases were made in U.S. dollars. At year end, 9% (2023 - 13%) of accounts payable were denominated in U.S. dollars.

Interest rate risk

Interest rate risk is the risk that the value of a financial instrument might be adversely affected by a change in the interest rates. In seeking to minimize the risks from interest rate fluctuations, the Company manages exposure through its normal operating and financing activities. The Company is exposed to interest rate risk primarily through its floating interest rate bank indebtedness and credit facilities as well as fixed rate loans that are due in the near term for refinancing.

(continues)

ILLUSTRATIVE ASPE CLIENT LTD.
Notes to Non-Consolidated Financial Statements
Year Ended August 31, 2024

24. FINANCIAL INSTRUMENTS *(continued)*

Other price risk

Other price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The Company is exposed to other price risk through its investment in marketable securities.

Unless otherwise noted, it is management's opinion that the Company is not exposed to significant other price risks arising from these financial instruments.

25. COMPARATIVE FIGURES

Some of the comparative figures have been reclassified to conform to the current year's presentation.

Draft for discussion purposes only

ILLUSTRATIVE ASPE CLIENT LTD.

Non-Consolidated Expenses

(Schedule 1)

Year Ended August 31, 2024

	2024	2023
Salaries and wages	\$ 3,942,550	\$ 2,342,317
Rental	608,218	548,434
Travel	562,883	458,362
Repairs and maintenance	494,091	42,015
Advertising and promotion	228,960	363,842
Utilities	225,673	167,348
Professional fees	204,967	67,457
Amortization	195,986	205,358
Vehicle	142,940	54,977
Life insurance premiums on executives (Note 7)	135,733	135,733
Interest on long term debt	111,559	57,261
Office (Note 18)	108,159	85,721
Insurance	92,516	60,277
Property taxes	39,137	22,979
Interest and bank charges	24,710	7,644
Amortization of intangible assets	17,500	17,500
Supplies	13,867	11,396
Business taxes, licenses and memberships	13,416	19,229
	<u>\$ 7,162,865</u>	<u>\$ 4,667,850</u>

See notes to financial statements